NVIDIA Corporation

NVDA NASDAQ

Buy	$217.46 ▼ 1.74%	12M Price Target $260.00	52-Week Range $164.27 – $243.37	Market Cap $5.25T

NVDA: Profit-Taking Dip, But Policy Winds Still Blowing

WHAT HAPPENED

- NVDA slid another 1.7% to $217, now down ~5% from last week's $229 high. No news, no filings — this looks like plain profit-taking as money rotates into defensive sectors (Healthcare +2.5%, Staples +1.2%). When six sectors are green and tech is red with no bad news, that's a rotation trade, not a story about NVDA.
- Volume was heavy yesterday (117M shares) but lighter today (77M) — the selling pressure is easing, not accelerating.

WHY IT MATTERS

Here's the real tell: options traders are leaning hard bullish into this dip. The put/call ratio is 0.59 (meaning way more bets on upside than downside), and there's unusual call buying at $217.50 — 66x the normal open interest. Translation: someone with real money thinks this pullback is a buying opportunity, likely positioning for a bounce into Q3 earnings in mid-November. The insider selling is noise — that's a General Counsel doing scheduled sales, not an executive signaling trouble. Meanwhile, institutions still own 71% of the float, which means the "smart money" base is sticky.

POLICY & POLITICAL WATCH

The big one to watch: the Trump administration's ongoing push to loosen some AI chip export rules to allies (while tightening on China) is a net positive — NVDA gets access to Gulf state and India buildouts worth tens of billions. On the flip side, Congress is debating a renewal/expansion of CHIPS Act funding, and whether AI data centers get federal power grid priority — if that passes, it directly accelerates hyperscaler buildouts (Microsoft, Meta, Google) which = more NVDA GPU orders. The wildcard risk is any new Commerce Department rule further restricting H20 or successor chips to China, which could knock 5-8% of revenue overnight.

IS IT EXPENSIVE?

At $5.25T market cap and ~37x forward earnings, investors are paying $37 for every $1 NVDA is expected to earn next year. That sounds expensive, but the company is growing earnings 40%+ annually and generates insane cash — so the PEG ratio (price relative to growth) is actually under 1, which is cheap for a dominant franchise. Compared to other mega-cap tech, NVDA is not stretched; it's priced like a high-quality compounder, not a bubble stock.

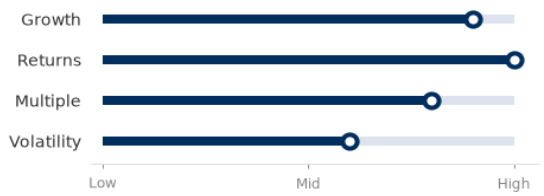
WHAT COULD GO WRONG

- China export controls tightening further — every new restriction chips away at ~13% of revenue and sets a precedent other countries might copy.

Key Data

Price (USD)	**$217.46**
12M Price Target	**$260.00**
Upside / (Downside)	**+19.6%**
Market Cap	**$5.25T**
FY2027E Revenue	**$215M**
FY2028E Revenue	**$275M**
FY2027E EPS	**$5.85**
FY2028E EPS	**$7.60**
Fwd P/E	**37.2x**

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



This report is prepared by Langston's using SEC EDGAR filings, market data (yfinance), and AI-generated analysis. It does not constitute investment advice. All figures are estimates. Past performance is not indicative of future results. Investors should conduct their own due diligence.

NVDA — NVIDIA Corporation | October 15, 2026

PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	**$235.00**	$222.00	**$205.00**
6 Months	**$270.00**	$245.00	**$190.00**
1 Year	**$310.00**	$260.00	**$180.00**
2 Years	**$400.00**	$320.00	**$170.00**
5 Years	**$600.00**	$450.00	**$200.00**
10 Years	**$1000.00**	$650.00	**$250.00**

WHAT'S MOVING IN THE SECTOR

HEATING UP: Healthcare (+6% in 5 days) and Staples (+4.4%) — classic defensive rotation, suggests some investors are getting nervous about growth/tech valuations near all-time highs. Materials and Real Estate also catching bids, which usually signals rate-cut expectations rising.

COOLING OFF: Tech/semis today — but this is a one-week breather after a massive run, not a trend break. No tech sector showed up in the top movers list, which is the real signal.

ROTATION WATCH: Money is rotating OUT of winners (tech) and INTO laggards (healthcare, staples) — this is often a pre-earnings de-risking move. It's tactical, not strategic. If NVDA earnings beat, this rotation reverses quickly.

RELATED PLAY: If NVDA's data center story stays intact, the power and cooling infrastructure names (Vertiv, Eaton, Constellation Energy) benefit directly — they're the ones literally keeping the AI buildout running.

WHO'S WINNING IN THIS SPACE?

- AVGO (Broadcom): Winning on custom AI chip deals with hyperscalers — the "other side" of the AI silicon trade.
- LLY (Eli Lilly): Healthcare momentum play; benefiting from today's defensive rotation.

NVDA CONTEXT: NVDA is lagging today but still leads the AI complex year-to-date by a wide margin. The pullback is normal and healthy — stocks that go straight up without consolidation eventually crash harder. This looks more like a pause than a top.

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

CONVICTION: 8/10 — I'm not pounding the table at $217, but I'm a committed buyer on any further weakness. The business fundamentals and policy backdrop both still support higher prices.

POSITION SIZE: 4-6% of portfolio — big enough to matter, small enough that a 20% drawdown doesn't ruin your year.

ENTRY POINTS: Add in tranches at $215, $205, and $195 if we get there. Don't try to catch the exact bottom.

TIME HORIZON: 12-24 months. Near-term catalyst is November earnings; medium-term catalyst is Rubin platform launch and continued hyperscaler capex guidance.

WHEN TO BAIL: If a major hyperscaler cuts 2026 capex guidance, if China export rules expand to block all AI chips, or if data center revenue growth drops below 25% year-over-year — any of those breaks the thesis.

HEDGING: Simplest hedge is buying put options 10% below current price as insurance — costs a little, protects a lot. Or just keep some cash on the sidelines so a drop becomes an opportunity instead of a problem.

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